J – Removal of Foreclosure Exemption for Real Property Transfer Tax

Shall the City permanently apply a transfer tax of between 0.5% and 6% of a property's fair market value, on the transfer of properties such as commercial, industrial, and large residential properties, that are transferred to a lender because of foreclosure or to avoid foreclosure, for estimated annual revenue of $100 million to $150 million?

YES	◯
NO	◯

This measure requires 50%+1 affirmative votes to pass.

Digest by the Ballot Simplification Council

The Way It Is Now: San Francisco charges a tax when most real estate property in the City changes hands. The amount of the tax depends on the property's sales price or value.

When a lender takes over a property through foreclosure, or when an owner hands over a property to the lender to avoid foreclosure, there is a tax break. The lender pays tax only on the difference between what the property sold for and what is still owed to the lender, including interest and foreclosure costs.

State law limits the total revenue, including tax revenue, the City may spend each year. The voters may approve increases to this limit for up to four years.

The Proposal: Proposition J would apply a transfer tax for properties such as commercial, industrial, and large residential real estate that a lender takes through foreclosure or is handed over to the lender to avoid foreclosure. Starting March 1, 2027, these properties would be taxed on their full market value.

The tax break would still apply to the transfer of:

1. single-family residences,
2. multi-family residential buildings with fewer than five units, and
3. mixed-use properties with fewer than five residential units and only one floor of non-residential space.

Proposition J would increase the City's spending limit for four years.

A "YES" Vote Means: If you vote "yes," you want to apply a transfer tax for properties such as commercial, industrial, and large residential properties, that are transferred to a lender because of foreclosure.

A "NO" Vote Means: If you vote "no," you do not want to make these changes.

Controller's Statement on "J"

City Controller Greg Wagner has issued the following statement on the fiscal impact of Proposition J:

Should the proposed initiative ordinance be approved by the voters, in my opinion, it would significantly increase the City's Real Property Transfer Tax revenues although the amount generated each year would be unpredictable and likely to change significantly year-to-year. The measure could bring an average of $100 million to $150 million annually over the first five years. The total revenue in any given year will be highly dependent on the number of foreclosures and real estate conditions. It is likely that revenue increases would be highest in the near term then decline significantly over time.

Currently the City partially exempts transfers of real property to a lender by foreclosure or in lieu of foreclosure from its Real Property Transfer Tax, which imposes a tax ranging from 0.5% to 6% of properties' consideration or value when they are transferred. The proposed ordinance would retain the existing partial exemption for foreclosures of residential and mixed-use properties with fewer than five residential units. However, the proposed ordinance would remove the foreclosure exemption from other

The above statement is an impartial analysis of this measure. Arguments for and against this measure immediately follow.
The full text begins on page 239. Some of the words used in the ballot digest are explained starting on page 62.

property types and subject those transfers to the tax on the fair market value of the properties at the same rates as non-foreclosed properties.

The revenue generated by this measure will be highly dependent on the number of foreclosures and distressed properties in the City. The number of distressed properties has risen since the COVID-19 pandemic because of the decline in property values resulting from the pandemic. If real estate recovers quickly and the number of foreclosures decreases, the proposed ordinance would bring in less revenue. But if the real estate market does not recover quickly and the number of foreclosures remains high, the proposed ordinance will generate more revenue.

For context, in Fiscal Year (FY) 2021-2022, before the City's real estate market declined due to the pandemic, the proposed ordinance would have generated $3.2 million. However, several years later in FY 2025-26, the proposed ordinance would have generated $232.5 million. Based on the City's experience in the early 1990s recession and the Great Recession in the late 2000s, the number of foreclosure-related transactions will likely fall over a four-to-six-year period back to non-crisis levels.

Revenue from this proposed measure is likely to be significantly more unpredictable than the current Real Property Transfer Tax. It falls on a very narrow and highly cyclical portion of property transfers in the City. There may be years where the proposed measure generates next to no new tax revenue.

How "J" Got on the Ballot

On July 28, 2026, the Board of Supervisors voted 10 to 0, with one Supervisor excused, to place Proposition J on the ballot. The Supervisors voted as follows:

Yes: Chan, Chen, Dorsey, Fielder, Mahmood, Mandelman, Melgar, Sauter, Sherrill, Wong.

No: None.

Excused: Walton.